

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

SM LINE CORPORATION, *Respondent*.

DOCKET NO. 23-01

Served: October 30, 2023

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

ORDER DENYING MOTION FOR LEAVE TO FILE THIRD-PARTY COMPLAINT

On October 12, 2023, Respondent SM Line Corporation filed a motion seeking leave to file a third-party complaint, along with a motion requesting confidential treatment of certain designated information in the motion for leave, including the identity of the proposed third-party respondents. The motion for confidential treatment has been granted pursuant to an accompanying order. Also on October 12, 2023, Complainant Samsung Electronics America, Inc. filed a motion requesting a status conference on Respondent's motion for leave to file a third-party complaint, noting alleged deficiencies in the motion that would make it difficult to respond. On October 13, 2023, the presiding officer issued an order declining to schedule a status conference and instructing Complainant to raise its arguments in its opposition to the motion for leave. On October 16, 2023, Complainant filed its opposition, arguing that Respondent's motion fails to allege a Shipping Act violation in accordance with 46 C.F.R. § 502.62(b)(4) and fails to meet the standards applied by federal courts in determining whether to allow filing of a third-party complaint under FRCP 14.

Contrary to Respondent's assertion that the Commission's Rules "do not expressly provide for the filing of third-party complaints," Commission Rule 62(b)(4) expressly lays out the requirements:

In addition to filing an answer to a complaint, a respondent may include in the answer a counterclaim against the complainant, a crossclaim against another respondent, or a third-party complaint. A counterclaim, a crossclaim, or a third-party complaint must allege and be limited to violations of the Shipping Act within the jurisdiction of the Commission.

46 C.F.R. § 502.62(b)(4). The first question is whether the proposed third-party complaint alleges and is limited to violations of the Shipping Act. It is normal practice to lodge a proposed third-party complaint with the motion for leave to file, but Respondent has not done so here. This makes it challenging for the presiding officer to determine exactly how the proposed third-party

respondents allegedly violated the Shipping Act. The motion for leave does not provide much clarity. Respondent first alleges that it “did not assess, collect, or receive all or any portion of the storage charges herein at issue” and that “two affiliates of Complainant are now understood to be responsible for these charges.” If true, this appears to be a general denial of Complainant’s allegations, and not the basis for a third-party complaint unless there is some underlying Shipping Act violation that would make those affiliates liable to Respondent for any damages it might be required to pay to Complainant.

The motion does not mention any section of the Shipping Act. The Commission’s Rules require complaints and motions to clearly state the statutory authority relied upon. 46 C.F.R. §§ 506.62 (a)(3) and 506.69(e). The presiding officer will not search through Respondent’s exhibits to find a plausible Shipping Act violation – it is Respondent’s responsibility to make its allegations clear in compliance with the Rules. This is why it is best practice to include the proposed third-party complaint with the motion for leave.

The parties also address the factors considered by federal district courts when exercising their discretion to allow the filing of third-party complaints beyond the 14 days permitted by FRCP 14. These factors include (1) the timeliness of the motion, (2) whether impleader will disadvantage the existing action by delaying or complicating the trial with extraneous questions, (3) whether the impleader will cause prejudice to the original plaintiff, and (4) whether the proposed third-party complaint alleges a cause of action for which relief may be granted. *Helperich Pat. Licensing, LLC v. Legacy Partners, LLC*, 917 F. Supp. 2d 985, 988 (D. Ariz. 2013). Since the motion fails to allege a Shipping Act violation, there is no need to address these factors.

Accordingly, Respondent’s Motion for Leave to File Third Party Complaint is **DENIED**.

Alex Michael
Chintella

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Alex Michael Chintella
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Alex M. Chintella
Administrative Law Judge